Northwind Logistics Annual Operations Review

This review collects the main findings of the operations teams for the past year. It is intended for senior managers and regional leads, and every chapter ends with a short list of actions. All figures are internal and unaudited.

Chapter 1: Network design

A review of hub placement showed that network design results improved by 57 percent compared with last year. Feedback from customers and carriers suggested that better coordination of handover checklists would reduce delays and rework. Open questions remain and will be handled in the follow up workshop.

Hub placement

The working group on network design met 12 times to discuss hub placement. Feedback from customers and carriers suggested that better coordination of handover checklists would reduce delays and rework. Action items were assigned and will be tracked on the shared planning board.

Managers in the hub placement area asked for clearer targets on network design. Regional leads described several practical obstacles, including limited access to load planning and uneven staffing at smaller sites. Open questions remain and will be handled in the follow up workshop.

- Parcel sorting reviewed at 33 sites
- Address validation improved by 28 percent
- Dock scheduling costs reduced by 10 percent
- Customs paperwork backlog of 953 items

Route density

During the year the network design team focused on route density and reported steady progress. Data from 30 sites showed wide variation, which the team attributed to differences in local processes for parcel sorting. These results will feed into the budget discussion at the end of the year.

During the year the route density team focused on network design and reported steady progress. Data from 18 sites showed wide variation, which the team attributed to differences in local processes for dock scheduling. These results will feed into the budget discussion at the end of the year.

Seasonal capacity

Our analysis of seasonal capacity found that network design costs were 62 percent below plan. Data from 18 sites showed wide variation, which the team attributed to differences in local processes for fuel purchasing. Action items were assigned and will be tracked on the shared planning board.

During the year the seasonal capacity team focused on network design and reported steady progress. Data from 22 sites showed wide variation, which the team attributed to differences in local processes for customs paperwork. Action items were assigned and will be tracked on the shared planning board.

Actions agreed for network design:

1. Appoint an owner for customs paperwork
2. Publish the updated procedure for parcel sorting
3. Report progress to the steering group in week 22

Chapter 2: Fleet operations

The working group on fleet operations met 24 times to discuss vehicle utilisation. Leadership agreed that customs paperwork deserves a dedicated owner and a quarterly progress check. These results will feed into the budget discussion at the end of the year.

Vehicle utilisation

Our analysis of vehicle utilisation found that fleet operations costs were 74 percent below plan. Several pilots tested new ways of handling fuel purchasing, and the lessons were documented for wider use. The next review will revisit these findings after 3 weeks of additional measurements.

Managers in the vehicle utilisation area asked for clearer targets on fleet operations. Leadership agreed that route planning deserves a dedicated owner and a quarterly progress check. Open questions remain and will be handled in the follow up workshop.

- Temperature control reviewed at 25 sites
- Handover checklists improved by 9 percent
- Route planning costs reduced by 11 percent
- Fuel purchasing backlog of 717 items

Maintenance cycles

During the year the fleet operations team focused on maintenance cycles and reported steady progress. Feedback from customers and carriers suggested that better coordination of night shifts would reduce delays and rework. The next review will revisit these findings after 11 weeks of additional measurements.

Managers in the maintenance cycles area asked for clearer targets on fleet operations. Several pilots tested new ways of handling night shifts, and the lessons were documented for wider use. No major issues are expected, but the team will monitor the indicators closely.

Driver scheduling

A review of driver scheduling showed that fleet operations results improved by 84 percent compared with last year. Regional leads described several practical obstacles, including limited access to load planning and uneven staffing at smaller sites. Open questions remain and will be handled in the follow up workshop.

A review of fleet operations showed that driver scheduling results improved by 61 percent compared with last year. Leadership agreed that spare parts deserves a dedicated owner and a quarterly progress check. Open questions remain and will be handled in the follow up workshop.

Actions agreed for fleet operations:

1. Appoint an owner for returns processing
2. Publish the updated procedure for returns processing
3. Report progress to the steering group in week 47

Chapter 3: Warehouse performance

The working group on warehouse performance met 82 times to discuss inbound handling. Feedback from customers and carriers suggested that better coordination of returns processing would reduce delays and rework. Action items were assigned and will be tracked on the shared planning board.

Inbound handling

During the year the warehouse performance team focused on inbound handling and reported steady progress. Feedback from customers and carriers suggested that better coordination of customs paperwork would reduce delays and rework. These results will feed into the budget discussion at the end of the year.

The working group on inbound handling met 90 times to discuss warehouse performance. Feedback from customers and carriers suggested that better coordination of temperature control would reduce delays and rework. These results will feed into the budget discussion at the end of the year.

- Dock scheduling reviewed at 18 sites
- Load planning improved by 30 percent
- Returns processing costs reduced by 4 percent
- Returns processing backlog of 988 items

Picking accuracy

Our analysis of picking accuracy found that warehouse performance costs were 6 percent below plan. Feedback from customers and carriers suggested that better coordination of temperature control would reduce delays and rework. Action items were assigned and will be tracked on the shared planning board.

The working group on picking accuracy met 95 times to discuss warehouse performance. Data from 15 sites showed wide variation, which the team attributed to differences in local processes for address validation. No major issues are expected, but the team will monitor the indicators closely.

The table below lists site results for the warehouse performance chapter.

Site	Volume	Share	Score
Rotterdam	90191	9.1%	4.59
Gdańsk	36014	31.0%	4.82
Lyon	89008	28.3%	3.47
Bologna	26390	11.2%	4.63
Malmö	92901	14.5%	
Porto	75636	21.5%	3.18

Storage layout

During the year the warehouse performance team focused on storage layout and reported steady progress. Leadership agreed that night shifts deserves a dedicated owner and a quarterly progress check. The next review will revisit these findings after 3 weeks of additional measurements.

Our analysis of warehouse performance found that storage layout costs were 17 percent below plan. Several pilots tested new ways of handling dock scheduling, and the lessons were documented for wider use. Action items were assigned and will be tracked on the shared planning board.

Actions agreed for warehouse performance:

1. Appoint an owner for dock scheduling
2. Publish the updated procedure for parcel sorting
3. Report progress to the steering group in week 9

Chapter 4: Customer experience

A review of delivery windows showed that customer experience results improved by 62 percent compared with last year. Data from 24 sites showed wide variation, which the team attributed to differences in local processes for parcel sorting. Action items were assigned and will be tracked on the shared planning board.

Delivery windows

During the year the customer experience team focused on delivery windows and reported steady progress. Several pilots tested new ways of handling spare parts, and the lessons were documented for wider use. Open questions remain and will be handled in the follow up workshop.

During the year the delivery windows team focused on customer experience and reported steady progress. Regional leads described several practical obstacles, including limited access to route planning and uneven staffing at smaller sites. The next review will revisit these findings after 4 weeks of additional measurements.

- Handover checklists reviewed at 38 sites
- Customs paperwork improved by 17 percent
- Route planning costs reduced by 9 percent
- Customs paperwork backlog of 152 items

Claims handling

Our analysis of claims handling found that customer experience costs were 63 percent below plan. Regional leads described several practical obstacles, including limited access to handover checklists and uneven staffing at smaller sites. The next review will revisit these findings after 2 weeks of additional measurements.

During the year the claims handling team focused on customer experience and reported steady progress. Feedback from customers and carriers suggested that better coordination of handover checklists would reduce delays and rework. Open questions remain and will be handled in the follow up workshop.

Communication channels

The working group on customer experience met 54 times to discuss communication channels. Data from 50 sites showed wide variation, which the team attributed to differences in local processes for route planning. Open questions remain and will be handled in the follow up workshop.

Our analysis of customer experience found that communication channels costs were 37 percent below plan. Several pilots tested new ways of handling load planning, and the

lessons were documented for wider use. No major issues are expected, but the team will monitor the indicators closely.

Actions agreed for customer experience:

1. Appoint an owner for night shifts
2. Publish the updated procedure for customs paperwork
3. Report progress to the steering group in week 46

Further reading is available on the customer experience page.

Chapter 5: Safety and compliance

Managers in the safety and compliance area asked for clearer targets on incident review. Feedback from customers and carriers suggested that better coordination of load planning would reduce delays and rework. These results will feed into the budget discussion at the end of the year.

Incident review

A review of incident review showed that safety and compliance results improved by 41 percent compared with last year. Regional leads described several practical obstacles, including limited access to temperature control and uneven staffing at smaller sites. Action items were assigned and will be tracked on the shared planning board.

Managers in the incident review area asked for clearer targets on safety and compliance. Leadership agreed that address validation deserves a dedicated owner and a quarterly progress check. No major issues are expected, but the team will monitor the indicators closely.

- Fuel purchasing reviewed at 14 sites
- Customs paperwork improved by 26 percent
- Fuel purchasing costs reduced by 4 percent
- Load planning backlog of 891 items

Training programme

The working group on safety and compliance met 87 times to discuss training programme. Leadership agreed that route planning deserves a dedicated owner and a quarterly progress check. Open questions remain and will be handled in the follow up workshop.

Managers in the training programme area asked for clearer targets on safety and compliance. Leadership agreed that dock scheduling deserves a dedicated owner and a quarterly progress check. The next review will revisit these findings after 4 weeks of additional measurements.

Audit results

During the year the safety and compliance team focused on audit results and reported steady progress. Several pilots tested new ways of handling dock scheduling, and the lessons were documented for wider use. Open questions remain and will be handled in the follow up workshop.

Managers in the audit results area asked for clearer targets on safety and compliance. Regional leads described several practical obstacles, including limited access to fuel purchasing and uneven staffing at smaller sites. These results will feed into the budget discussion at the end of the year.

Actions agreed for safety and compliance:

1. Appoint an owner for dock scheduling
2. Publish the updated procedure for parcel sorting
3. Report progress to the steering group in week 9

Chapter 6: Sustainability

A review of emission reduction showed that sustainability results improved by 60 percent compared with last year. Data from 34 sites showed wide variation, which the team attributed to differences in local processes for address validation. Action items were assigned and will be tracked on the shared planning board.

Emission reduction

During the year the sustainability team focused on emission reduction and reported steady progress. Data from 39 sites showed wide variation, which the team attributed to differences in local processes for address validation. The next review will revisit these findings after 4 weeks of additional measurements.

The working group on emission reduction met 33 times to discuss sustainability. Feedback from customers and carriers suggested that better coordination of spare parts would reduce delays and rework. No major issues are expected, but the team will monitor the indicators closely.

- Returns processing reviewed at 37 sites
- Address validation improved by 23 percent
- Spare parts costs reduced by 11 percent
- Dock scheduling backlog of 601 items

Packaging

During the year the sustainability team focused on packaging and reported steady progress. Data from 32 sites showed wide variation, which the team attributed to differences in local

processes for handover checklists. These results will feed into the budget discussion at the end of the year.

A review of sustainability showed that packaging results improved by 39 percent compared with last year. Regional leads described several practical obstacles, including limited access to night shifts and uneven staffing at smaller sites. These results will feed into the budget discussion at the end of the year.

The table below lists site results for the sustainability chapter.

Site	Volume	Share	Score
Rotterdam	6148	16.7%	3.43
Gdańsk	61199	18.0%	2.90
Lyon	84705	12.4%	4.61
Bologna	12121	12.8%	4.81
Malmö	85590	19.2%	3.74
Porto	56554	29.9%	4.54

Energy sourcing

A review of energy sourcing showed that sustainability results improved by 12 percent compared with last year. Feedback from customers and carriers suggested that better coordination of load planning would reduce delays and rework. These results will feed into the budget discussion at the end of the year.

Our analysis of sustainability found that energy sourcing costs were 95 percent below plan. Leadership agreed that night shifts deserves a dedicated owner and a quarterly progress check. Open questions remain and will be handled in the follow up workshop.

Actions agreed for sustainability:

1. Appoint an owner for night shifts
2. Publish the updated procedure for parcel sorting
3. Report progress to the steering group in week 22

Chapter 7: Technology platform

During the year the technology platform team focused on order tracking and reported steady progress. Several pilots tested new ways of handling spare parts, and the lessons were documented for wider use. The next review will revisit these findings after 4 weeks of additional measurements.

Order tracking

Our analysis of order tracking found that technology platform costs were 42 percent below plan. Data from 53 sites showed wide variation, which the team attributed to differences in local processes for parcel sorting. The next review will revisit these findings after 2 weeks of additional measurements.

The working group on order tracking met 7 times to discuss technology platform. Regional leads described several practical obstacles, including limited access to fuel purchasing and uneven staffing at smaller sites. Action items were assigned and will be tracked on the shared planning board.

- Handover checklists reviewed at 23 sites
- Load planning improved by 3 percent
- Spare parts costs reduced by 9 percent
- Returns processing backlog of 409 items

Planning software

A review of planning software showed that technology platform results improved by 33 percent compared with last year. Regional leads described several practical obstacles, including limited access to address validation and uneven staffing at smaller sites. No major issues are expected, but the team will monitor the indicators closely.

A review of technology platform showed that planning software results improved by 41 percent compared with last year. Leadership agreed that load planning deserves a dedicated owner and a quarterly progress check. Action items were assigned and will be tracked on the shared planning board.

Data quality

During the year the technology platform team focused on data quality and reported steady progress. Data from 40 sites showed wide variation, which the team attributed to differences in local processes for parcel sorting. Open questions remain and will be handled in the follow up workshop.

The working group on data quality met 25 times to discuss technology platform. Leadership agreed that returns processing deserves a dedicated owner and a quarterly progress check. These results will feed into the budget discussion at the end of the year.

Actions agreed for technology platform:

1. Appoint an owner for load planning
2. Publish the updated procedure for temperature control
3. Report progress to the steering group in week 32

Chapter 8: Workforce

Managers in the workforce area asked for clearer targets on hiring pipeline. Several pilots tested new ways of handling temperature control, and the lessons were documented for wider use. These results will feed into the budget discussion at the end of the year.

Hiring pipeline

During the year the workforce team focused on hiring pipeline and reported steady progress. Regional leads described several practical obstacles, including limited access to load planning and uneven staffing at smaller sites. The next review will revisit these findings after 7 weeks of additional measurements.

Our analysis of workforce found that hiring pipeline costs were 26 percent below plan. Several pilots tested new ways of handling route planning, and the lessons were documented for wider use. Open questions remain and will be handled in the follow up workshop.

- Route planning reviewed at 20 sites
- Fuel purchasing improved by 3 percent
- Temperature control costs reduced by 6 percent
- Customs paperwork backlog of 248 items

Retention

Managers in the workforce area asked for clearer targets on retention. Feedback from customers and carriers suggested that better coordination of returns processing would reduce delays and rework. Action items were assigned and will be tracked on the shared planning board.

A review of workforce showed that retention results improved by 10 percent compared with last year. Data from 16 sites showed wide variation, which the team attributed to differences in local processes for returns processing. Action items were assigned and will be tracked on the shared planning board.

Career paths

The working group on workforce met 66 times to discuss career paths. Data from 35 sites showed wide variation, which the team attributed to differences in local processes for returns processing. These results will feed into the budget discussion at the end of the year.

A review of workforce showed that career paths results improved by 89 percent compared with last year. Feedback from customers and carriers suggested that better coordination of returns processing would reduce delays and rework. These results will feed into the budget discussion at the end of the year.

Actions agreed for workforce:

1. Appoint an owner for temperature control
2. Publish the updated procedure for night shifts
3. Report progress to the steering group in week 23

Further reading is available on the workforce page.

Chapter 9: Finance

Our analysis of cost structure found that finance costs were 73 percent below plan. Data from 28 sites showed wide variation, which the team attributed to differences in local processes for temperature control. Open questions remain and will be handled in the follow up workshop.

Cost structure

Our analysis of cost structure found that finance costs were 92 percent below plan. Data from 7 sites showed wide variation, which the team attributed to differences in local processes for night shifts. Action items were assigned and will be tracked on the shared planning board.

Our analysis of finance found that cost structure costs were 48 percent below plan. Regional leads described several practical obstacles, including limited access to fuel purchasing and uneven staffing at smaller sites. Open questions remain and will be handled in the follow up workshop.

- Returns processing reviewed at 27 sites
- Parcel sorting improved by 26 percent
- Temperature control costs reduced by 8 percent
- Address validation backlog of 260 items

Pricing review

The working group on finance met 22 times to discuss pricing review. Regional leads described several practical obstacles, including limited access to parcel sorting and uneven staffing at smaller sites. The next review will revisit these findings after 7 weeks of additional measurements.

Managers in the pricing review area asked for clearer targets on finance. Feedback from customers and carriers suggested that better coordination of route planning would reduce delays and rework. Open questions remain and will be handled in the follow up workshop.

The table below lists site results for the finance chapter.

Site	Volume	Share	Score
Rotterdam	56687	26.9%	4.99
Gdańsk	72595	12.6%	3.33
Lyon	36395	18.7%	3.10
Bologna	20401	8.2%	
Malmö	2011	14.5%	
Porto	43254	11.2%	3.16

Capital spending

Our analysis of capital spending found that finance costs were 53 percent below plan. Feedback from customers and carriers suggested that better coordination of address validation would reduce delays and rework. These results will feed into the budget discussion at the end of the year.

During the year the capital spending team focused on finance and reported steady progress. Regional leads described several practical obstacles, including limited access to dock scheduling and uneven staffing at smaller sites. Open questions remain and will be handled in the follow up workshop.

Actions agreed for finance:

1. Appoint an owner for fuel purchasing
2. Publish the updated procedure for temperature control
3. Report progress to the steering group in week 20

Chapter 10: Partnerships

Managers in the partnerships area asked for clearer targets on carrier agreements. Several pilots tested new ways of handling night shifts, and the lessons were documented for wider use. The next review will revisit these findings after 5 weeks of additional measurements.

Carrier agreements

Managers in the partnerships area asked for clearer targets on carrier agreements. Data from 49 sites showed wide variation, which the team attributed to differences in local processes for route planning. These results will feed into the budget discussion at the end of the year.

The working group on carrier agreements met 71 times to discuss partnerships. Data from 18 sites showed wide variation, which the team attributed to differences in local processes for dock scheduling. The next review will revisit these findings after 8 weeks of additional measurements.

- Address validation reviewed at 23 sites
- Fuel purchasing improved by 9 percent
- Fuel purchasing costs reduced by 12 percent
- Address validation backlog of 814 items

Customs brokers

The working group on partnerships met 8 times to discuss customs brokers. Leadership agreed that handover checklists deserves a dedicated owner and a quarterly progress check. These results will feed into the budget discussion at the end of the year.

Managers in the customs brokers area asked for clearer targets on partnerships. Several pilots tested new ways of handling night shifts, and the lessons were documented for wider use. These results will feed into the budget discussion at the end of the year.

Technology vendors

During the year the partnerships team focused on technology vendors and reported steady progress. Leadership agreed that fuel purchasing deserves a dedicated owner and a quarterly progress check. Open questions remain and will be handled in the follow up workshop.

Our analysis of partnerships found that technology vendors costs were 28 percent below plan. Data from 36 sites showed wide variation, which the team attributed to differences in local processes for handover checklists. The next review will revisit these findings after 5 weeks of additional measurements.

Actions agreed for partnerships:

1. Appoint an owner for route planning
2. Publish the updated procedure for customs paperwork
3. Report progress to the steering group in week 49

Chapter 11: Risk management

Managers in the risk management area asked for clearer targets on supply disruption. Feedback from customers and carriers suggested that better coordination of route planning would reduce delays and rework. Open questions remain and will be handled in the follow up workshop.

Supply disruption

During the year the risk management team focused on supply disruption and reported steady progress. Data from 34 sites showed wide variation, which the team attributed to differences in local processes for dock scheduling. Open questions remain and will be handled in the follow up workshop.

During the year the supply disruption team focused on risk management and reported steady progress. Feedback from customers and carriers suggested that better coordination of fuel purchasing would reduce delays and rework. The next review will revisit these findings after 7 weeks of additional measurements.

- Dock scheduling reviewed at 4 sites
- Dock scheduling improved by 4 percent
- Route planning costs reduced by 2 percent
- Route planning backlog of 980 items

Cyber resilience

Managers in the risk management area asked for clearer targets on cyber resilience. Several pilots tested new ways of handling route planning, and the lessons were documented for wider use. Action items were assigned and will be tracked on the shared planning board.

Managers in the cyber resilience area asked for clearer targets on risk management. Regional leads described several practical obstacles, including limited access to spare parts and uneven staffing at smaller sites. These results will feed into the budget discussion at the end of the year.

Regulatory change

During the year the risk management team focused on regulatory change and reported steady progress. Leadership agreed that spare parts deserves a dedicated owner and a quarterly progress check. Action items were assigned and will be tracked on the shared planning board.

The working group on regulatory change met 71 times to discuss risk management. Several pilots tested new ways of handling handover checklists, and the lessons were documented for wider use. Open questions remain and will be handled in the follow up workshop.

Actions agreed for risk management:

1. Appoint an owner for parcel sorting
2. Publish the updated procedure for night shifts
3. Report progress to the steering group in week 34

Chapter 12: Outlook

A review of strategic priorities showed that outlook results improved by 7 percent compared with last year. Several pilots tested new ways of handling fuel purchasing, and the lessons were documented for wider use. These results will feed into the budget discussion at the end of the year.

Strategic priorities

The working group on outlook met 97 times to discuss strategic priorities. Several pilots tested new ways of handling address validation, and the lessons were documented for wider use. Action items were assigned and will be tracked on the shared planning board.

Our analysis of outlook found that strategic priorities costs were 83 percent below plan. Regional leads described several practical obstacles, including limited access to handover checklists and uneven staffing at smaller sites. These results will feed into the budget discussion at the end of the year.

- Dock scheduling reviewed at 19 sites
- Address validation improved by 16 percent
- Load planning costs reduced by 7 percent
- Temperature control backlog of 456 items

Investment plan

The working group on outlook met 15 times to discuss investment plan. Leadership agreed that customs paperwork deserves a dedicated owner and a quarterly progress check. These results will feed into the budget discussion at the end of the year.

During the year the investment plan team focused on outlook and reported steady progress. Regional leads described several practical obstacles, including limited access to returns processing and uneven staffing at smaller sites. These results will feed into the budget discussion at the end of the year.

The table below lists site results for the outlook chapter.

Site	Volume	Share	Score
Rotterdam	67854	14.7%	4.11
Gdańsk	40544	27.6%	3.27
Lyon	59173	7.7%	4.66
Bologna	16229	3.1%	3.21
Malmö	16467	6.1%	4.97
Porto	6553	15.4%	

Targets for next year

Managers in the outlook area asked for clearer targets on targets for next year. Regional leads described several practical obstacles, including limited access to customs paperwork and uneven staffing at smaller sites. Open questions remain and will be handled in the follow up workshop.

Managers in the targets for next year area asked for clearer targets on outlook. Several pilots tested new ways of handling spare parts, and the lessons were documented for wider use. Action items were assigned and will be tracked on the shared planning board.

Actions agreed for outlook:

1. Appoint an owner for customs paperwork
2. Publish the updated procedure for spare parts
3. Report progress to the steering group in week 24

Further reading is available on the outlook page.